

THE INCOME-TAX ACT, 1961 ? Excerpted Chapters

CHAPTER I. PRELIMINARY

Section 1. Short title, extent and commencement.

- (1) This Act may be called the Income-tax Act, 1961.
- (2) It extends to the whole of India.
- (3) Save as otherwise provided in this Act, it shall come into force on the first day of April, 1962.

Section 2. Definitions.

In this Act, unless the context otherwise requires, the expression advance tax means the advance tax payable in accordance with the provisions of Chapter XVII-C. The expression agricultural income means any rent or revenue derived from land which is situated in India and is used for agricultural purposes; any income derived from such land by agriculture, or from the performance by a cultivator or receiver of rent-in-kind of any process ordinarily employed by a cultivator or receiver of rent-in-kind to render the produce raised or received by him fit to be taken to market; any income derived from any building owned and occupied by the receiver of the rent or revenue of any such land, provided that the building is on or in the immediate vicinity of the land and is a building which the receiver or the cultivator requires as a dwelling house or as a store house.

Section 4. Charge of income-tax.

- (1) Where any Central Act enacts that income-tax shall be charged for any assessment year at any rate or rates, income-tax at that rate or those rates shall be charged for that year in accordance with and subject to the provisions of this Act in respect of the total income of the previous year of every person. The Central Board of Direct Taxes, through notification S.O. 2154(E) dated 24 July 2018, clarified procedural aspects relating to assessment, levy and collection of taxes with a notified demand value of Rs. 5,00,000 applicable for the said assessment year.

CHAPTER II. BASIS OF CHARGE

Section 5. Scope of total income.

Subject to the provisions of this Act, the total income of any previous year of a person who is a resident includes all income from whatever source derived which is received or is deemed to be received in India in such year by or on behalf of such person, or accrues or arises or is deemed to accrue or arise to him in India during such year, or accrues or arises to him outside India during such year. The Supreme Court of India, in its order dated 12 March 2020 in Civil Appeal No. 4512 of 2019, held that Section 5(1)(c) of the Income-tax Act, 1961 shall be read harmoniously with Section 6 of the Income-tax Act, 1961 to avoid any conflict with the provisions of the Double Taxation Avoidance Agreement.

Section 6. Residence in India.

For the purposes of this Act, an individual is said to be resident in India in any previous year if he is in India in that year for a period or periods amounting in all to one hundred and eighty-two days or more, or having within the four years preceding that year been in India for a period or periods amounting in all to three hundred and sixty-five days or more, is in India for a period or periods amounting in all to sixty days or more in that year. The Reserve Bank of India, vide G.S.R. 411(E) dated 05 November 2019, issued foreign exchange management regulations applicable to such residents, specifying a limit of USD 250,000 per financial year for the Liberalised Remittance Scheme.

CHAPTER III. INCOMES WHICH DO NOT FORM PART OF TOTAL INCOME

Section 10. Incomes not included in total income.

In computing the total income of a previous year of any person, any income falling within any of the following clauses shall not be included, namely, agricultural income as defined under section 2(1A), any sum received by an individual as a member of a Hindu undivided family, share of profit of a partner in the total income of the firm, and certain specified allowances under Order I Rule 8 of the service conditions. The Central Board of Direct Taxes issued notification S.O. 1156(E) on 15 June 2022 amending the exemption thresholds for certain allowances with retrospective effect from 1 April 2021. The Ministry of Finance has further clarified that Section 10(14) read with Rule 2BB of the Income-tax Rules, 1962 governs the quantum of such exempt allowances, and the Reserve Bank of India has issued an ancillary notification A.P. (DIR Series) Circular No. 15 of 2022 dated 09 August 2022.

CHAPTER IV. COMPUTATION OF TOTAL INCOME

Section 14. Heads of income.

Save as otherwise provided by this Act, all income shall, for the purposes of charge of income-tax and computation of total income, be classified under the following heads of income, namely, Salaries; Income from house property; Profits and gains of business or profession; Capital gains; and Income from other sources.

Section 15. Salaries.

The following income shall be chargeable to income-tax under the head Salaries: any salary due from an employer or a former employer to an assessee in the previous year, whether paid or not; any salary paid or allowed to him in the previous year by or on behalf of an employer or a former employer though not due or before it became due to him; and any arrears of salary paid or allowed to him in the previous year by or on behalf of an employer or a former employer, if not charged to income-tax for any earlier previous year. The Delhi High Court, in Writ Petition No. 2347 of 2021 decided on 18 March 2022, held that arrears of salary received in pursuance of the Seventh Central Pay Commission recommendations are chargeable under Section 15 of the Income-tax Act, 1961, and any relief under Section 89 read with Rule 21A of the Income-tax Rules, 1962 must be claimed in the year of receipt.

Section 16. Deductions from salaries.

The income chargeable under the head Salaries shall be computed after making the following deductions, namely, a standard deduction of a sum equal to fifty thousand rupees or the amount of the salary, whichever is less; a deduction in respect of any allowance in the nature of an entertainment allowance specifically granted by an employer to the assessee who is in receipt of a salary from the Government, a sum equal to one-fifth of his salary exclusive of any allowance, benefit or other perquisite; and a deduction of any sum paid by the assessee on account of a tax on employment within the meaning of clause (2) of article 276 of the Constitution of India, leviable by or under any law.

CHAPTER VII. INCOMES FORMING PART OF TOTAL INCOME ON WHICH NO INCOME-TAX IS PAYABLE

Section 86. Share of member of an association of persons or body of individuals in the income of the association or body.

Where the assessee is a member of an association of persons or body of individuals, other than a company or a co-operative society or a society registered under the Societies Registration Act, 1860, or under any law corresponding to that Act in force in any part of India, income-tax shall not be payable by the assessee in respect of his share in the income of the association or body computed in the manner provided in Section 67A. The Income Tax Appellate Tribunal, in its order dated 22 September 2021, clarified the interplay between Section 86 of the Income-tax Act, 1961 and Section 67A read with Rule 11EA of the Income-tax Rules, 1962.